WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

BAHRAIN

Middle East

Information current as of October 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Manama / Bahrain Bay and Bahrain Financial Harbour	Capital and the Gulf's longest-established financial centre; financial and insurance services are the largest contributor to GDP	Banking, Islamic finance, insurance, fintech, professional services
Sitra (Bapco refinery complex)	Site of the Bapco Modernisation Project, inaugurated in December 2024, which lifted refinery capacity by 42% to 405,000 barrels a day	Refining, petrochemicals, energy services, plant repair and maintenance
Askar (Alba smelter)	Home to Aluminium Bahrain (Alba), one of the world's largest single-site aluminium smelters and anchor of a downstream cluster	Aluminium, downstream metals, industrial services
Hidd / Khalifa Bin Salman Port and Bahrain Logistics Zone	Main container port with an adjacent logistics zone serving re-export and regional distribution	Logistics, warehousing, light manufacturing, re-export
King Fahd Causeway (Saudi border)	Road link to Saudi Arabia that has become Bahrain's principal alternative trade channel in 2026, carrying cargo to and from Saudi Red Sea ports	Overland freight, customs services, cross-border trade
Bahrain International Investment Park and industrial areas	Serviced industrial land for export-oriented manufacturers, with direct access to the GCC market	Food processing, manufacturing, pharmaceuticals
Sakhir / Muharraq	Growth areas for tourism, events, aviation and data infrastructure, including the international airport on Muharraq	Tourism, aviation, data centres, real estate

INVESTOR ENTRY ROUTES

- Bahrain Economic Development Board (EDB), the investment promotion agency, offering one-stop facilitation, incentive guidance and aftercare for foreign investors
- Golden Licence for strategic projects, giving priority access to land, utilities and fast-track approvals; it attracted around $2.4 billion of investment in its first year
- Wide scope for 100% foreign ownership across most sectors, with no personal income tax; a draft law would introduce a 10% corporate income tax from 2027, alongside the 15% domestic minimum top-up tax for large multinationals in force since 2025
- Central Bank of Bahrain (CBB) licensing for banking, insurance, fintech and crypto-asset services, including a regulatory sandbox

- Bahraini dinar pegged at about 0.376 per US dollar, with no restrictions on capital or profit repatriation
- Industrial land and logistics access through Bahrain International Investment Park, Bahrain Logistics Zone and Khalifa Bin Salman Port
- Joint ventures and supply arrangements with state-linked groups such as Bapco Energies, Alba and the sovereign investor Mumtalakat

MARKET-ENTRY OBSERVATION

Bahrain entered 2026 with solid momentum and the Gulf's most diversified economic base. GDP grew 3.5% in 2025, above the government's 3.1% projection, with non-oil activity up 4.1% and fourth-quarter growth of 4.6%, the fastest since 2022. Non-oil sectors now generate around 90% of GDP, and even in the first quarter of 2026 they expanded 2.2%, led by financial and insurance services (+8.6%). The stock of foreign direct investment stands at BHD18 billion (around $48 billion) and inflows rose nearly 3% year on year in the first quarter. The Golden Licence attracted around $2.4 billion in its first year, the Bapco Modernisation Project has raised refinery capacity to 405,000 barrels a day, and strategic partnerships, including a £2 billion investment partnership with the UK and a $17 billion package of deals with the United States in 2025, deepen Bahrain's Western ties.

Bahrain's main structural challenge is fiscal: government debt reached about 147% of GDP in 2025 (Fitch), with interest costs of $2.8 billion, and the 2026 Iran war has added pressure. Iranian strikes on the Sitra refinery and Alba from March, together with restrictions on Strait of Hormuz shipping, cut oil activity by 37.2% and overall GDP by 3.8% in the first quarter; oil output averaged around 65,000 barrels a day in August against about 161,000 in late 2025. Bahrain has responded quickly and pragmatically. The CBB introduced loan-deferral and liquidity support in April, the UAE extended an AED20 billion currency swap, a $1 billion ten-year bond in June drew more than $3.2 billion of orders, and exporters such as Alba now route 40–60% of shipments overland through Saudi Arabia to Jeddah while meeting delivery commitments. Revenue reform, including the planned corporate income tax, is under way. For investors, the opportunity lies in Bahrain's resilient non-oil economy, Gulf-leading financial-services platform and the new demand for overland logistics, storage and supply-chain solutions.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Strait of Hormuz disruption	Commercial transits through the Strait remain far below pre-war levels in October 2026, constraining oil, refined-product and container trade	Use the Saudi overland route and Red Sea ports, hold higher inventories, and build disruption scenarios into supply-chain planning
Regional security and conflict spillover	Bahrain was targeted by Iranian missiles and drones from March 2026, including strikes on Bapco and Alba facilities	Close security partnerships with the US and UK under C-SIPA support resilience; review insurance, force majeure clauses and business-continuity plans
High public debt	Government debt was around 147% of GDP in 2025 and Fitch and S&P both rate Bahrain 'B' following downgrades	GCC support, including the UAE currency swap, and continued market access cushion financing; favour projects earning hard currency or backed by strong counterparties
Reliance on oil revenues	Hydrocarbons are about 15% of GDP but around half of state revenue and exports, so lower output weighs on public finances	Fiscal reform and the planned corporate income tax broaden the revenue base; non-oil sectors offer the strongest growth exposure
Tax regime in transition	A draft law would introduce a 10% corporate income tax from 2027, ending Bahrain's position as a largely tax-free jurisdiction for local companies	Obtain early tax advice; a 10% rate remains competitive and adds predictability to Bahrain's fiscal path
Rising costs and inflation	Inflation reached 3.0% in July–August 2026, a three-year high driven by food and transport, while the CBB raised its key rate to 4.75% in September in line with the Fed	Inflation remains moderate by global standards; the dollar peg provides currency certainty for pricing and contracts
Small domestic market	Bahrain's small population limits local	Use Bahrain as a cost-effective GCC hub,

Issue	Potential Impact	Possible Mitigation
	demand for consumer-focused investment	with the King Fahd Causeway giving direct road access to Saudi Arabia's large market

INVESTOR RISK NOTE

Bahrain's risk profile reflects an open, diversified economy that is managing a significant regional shock from a position of deep institutional strength. Non-oil sectors, which generate around 90% of GDP, continued to grow in early 2026, financial services expanded strongly, and FDI inflows rose despite the conflict. The principal risks are external: the 2026 Iran war has brought strikes on Bahraini energy and industrial facilities and continuing restrictions on Strait of Hormuz shipping, which have sharply reduced oil output and export revenue. These pressures add to high public debt, now rated 'B' by Fitch and S&P, and to rising interest costs. Bahrain's mitigants are substantial: GCC solidarity, illustrated by the UAE currency swap; continued access to international bond markets; a credible dollar peg; and the Saudi overland route, which is keeping exports moving. Investors should conduct thorough security, insurance and supply-chain due diligence and monitor ceasefire talks, while recognising that Bahrain's non-oil and services economy has continued to perform through the disruption.

MARKET ACCESS

Bahrain is a founding member of the Gulf Cooperation Council (GCC) and its customs union, giving tariff-free access to the wider Gulf market, and has been a WTO member since 1995. It is the only GCC state with a bilateral free trade agreement with the United States, in force since 2006. The King Fahd Causeway connects Bahrain by road to Saudi Arabia, its largest trading partner and the source of around 22% of its cumulative inward investment, and in 2026 it has become a vital channel for trade to Saudi Red Sea ports. Bahrain's strategic partnerships with the US and UK under C-SIPA, and its planned second link to Saudi Arabia via the King Hamad Causeway, strengthen its position as a gateway to the wider Gulf.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Crown Prince and Prime Minister (HRH Prince Salman bin Hamad Al Khalifa)	Leads government and economic policy and chairs the EDB board; principal architect of Bahrain's diversification and Western partnerships	Primary reference point for strategic investment and government-to-government initiatives
Bahrain Economic Development Board (EDB)	Investment promotion agency, headed by the Minister of Sustainable Development, administering the Golden Licence and investor aftercare	Standard first point of contact for market entry, incentives and site selection
Central Bank of Bahrain (CBB)	Single regulator for banking, insurance, capital markets and fintech; manages the dinar peg	Essential for any financial-services licence or sandbox application
Ministry of Finance and National Economy	Leads fiscal policy, debt management and the planned corporate income tax	Relevant for tax planning, public-private partnerships and fiscal outlook
Bapco Energies	Integrated state energy company operating the modernised Sitra refinery and Bahrain's upstream assets	Key counterpart for energy, refining and plant-restoration opportunities
Mumtalakat (sovereign wealth fund)	Holds the state's stakes in non-oil companies, including Alba and Gulf Air	Potential co-investor and partner for large non-oil projects
Aluminium Bahrain (Alba)	One of the world's largest aluminium smelters and the anchor of the downstream metals sector	Counterpart for downstream aluminium, logistics and industrial-services investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Bahrain Chamber of Commerce and Industry is the principal channel for engagement with the local private sector and is consulted on new legislation, including the draft corporate income tax law. The American Chamber of Commerce in Bahrain supports US companies under the bilateral free trade agreement, and the UK–Bahrain Strategic Investment and Collaboration Partnership provides a framework for British investors. The EDB organises investor delegations, sector roadshows and an annual Saudi–Bahraini Investment Forum, reflecting the depth of Saudi investment in the kingdom. The Bahrain Bourse, Bahrain FinTech Bay and the large community of regional and international banks headquartered in Manama provide useful networks for financial-services investors.

INVESTOR PROFILE BEST SUITED

Bahrain suits investors seeking a cost-effective, well-regulated base for the Gulf: financial-services, Islamic finance, insurance and fintech firms drawn by the CBB's single-regulator model and sandbox; technology and data-centre investors building on Bahrain's cloud and digital infrastructure; logistics and supply-chain operators positioned for overland trade with Saudi Arabia; and downstream manufacturers using Alba aluminium and Bapco feedstock. Energy-services firms may find opportunities in restoration and maintenance once conditions allow, while all investors should build regional-security and supply-chain contingencies into their planning.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Bahrain EDB and assess Golden Licence eligibility
Open early dialogue with the EDB on sector incentives, site options and fast-track approvals for strategic projects.

STEP 2: Secure CBB licensing early for financial-services entry
Use the CBB's single-regulator model and fintech sandbox to plan licensing timelines for banking, insurance or digital-finance activities.

STEP 3: Build Hormuz and security scenarios into planning
Model shipping disruption, insurance costs and overland routing through Saudi Arabia, drawing on the 2026 experience of exporters such as Alba.

STEP 4: Take early advice on the corporate income tax
Assess the impact of the proposed 10% corporate income tax from 2027 and the existing domestic minimum top-up tax on investment structures.

STEP 5: Position for the Saudi market via the causeway
Use Bahrain's road link, logistics zone and GCC customs-union membership to serve Saudi Arabia and the wider Gulf from a Bahrain base.